



Reorder Level Calculation

The reorder level is defined as the sum of the safety stock plus the requirement forecast within the replenishment lead time (see formula (17)).

Example

A forecast was carried out on a monthly basis. A month has 30 days in the case of external procurement.

Safety stock		100
Forecast	1st subsequent period	200
	2nd subsequent period	300
	3rd subsequent period	400
Replenishment lead time	40 days	0/30
		30/30 + 10/30

(an entire monthly requirement + a part of the following month)

Reorder level = $100 + 30/30 * 200 + 10/30 * 300 = 400$

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